



LUSANGAZI TOWN COUNCIL



FINANCIAL STATEMENT FOR THE YEAR

ENDED 31st DECEMBER 2023

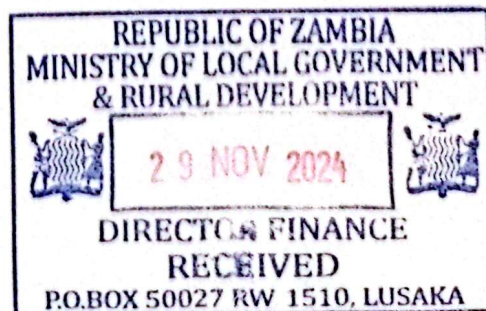


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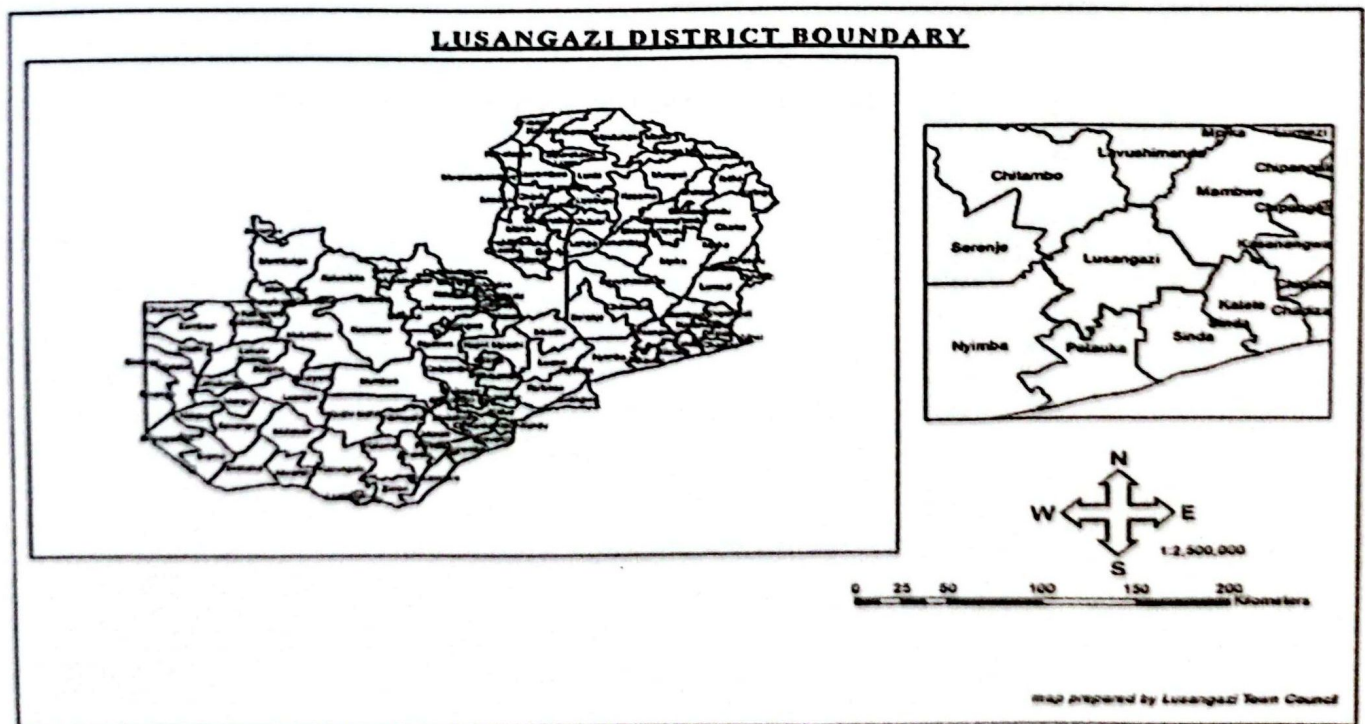
REPORT OF THE COUNCIL

The Council has the pleasure of presenting the report together with the financial statements for the year ended 31st December 2023 which disclose the sources, utilization and balances of cash for Lusangazi Town Council during the period under review.

Background and Location of the Council

The Council is located at Village 18 in Masili, Lusangazi District, Eastern Province of Zambia along Ukwimi Road. Lusangazi was declared a district in April, 2018 under Statutory Instrument No. 26 of 2018. The district was created in order for Government to take development closer to the local people, through the delivery of Services such as Schools, Hospitals, provision of water and Sanitation and Other Services. Lusangazi was a constituency under Petauke district, whose name was derived from the Lusangazi River which means meanders through the district. The district was formally known as Ukwimi Refuge Settlement, the refugees came from different Countries namely Angola, Mozambique and Rwanda.

The District is among the fifteen districts in the Eastern Province of Zambia. It is approximately 470 km east of Zambia's capital city - Lusaka. It has a surface area of 5,252-kilometre square (km²) and lies between 13°30' latitude and 14°45' longitude, 31° west and 32° east. The District shares boundaries with Petauke in the south and with Sinda and Mambwe in the north-east, as well as Serenje and Chitambo in the north-west, Nyimba in the Southwest and Lavushimanda in the North. The district has one constituency called Msanzala which has eleven wards namely; Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise, Chikowa, Mawanda, Lusangazi, Ukwimi, Mudonsa and Chisangu respectively. Below is the image showing the district boundary.



Population

The district has a population of 110,523 (2022 ZSA Preliminary Report) with a growth rate of 4.4%. Lusangazi is a rural district with approximately 98% of the population living in the rural parts of the district while the other 2% live in the urban part that has access to electricity. The average annual population growth rate is 4.4% which is above the provincial annual population rate of 3.1%. Lusangazi has a youthful population with the

REPORT OF THE COUNCIL

age group between 15-34 years being 30%. The population density is 24.6 persons per square kilometre (Zambia Statistics Agency 2022).

Economic Activities

The district being typically rural and the main commercial activity is agriculture which includes Farming and Livestock rearing. However, the district accommodates several Game ranches for small scale tourism activities. There are also several small-scale mining activities within Lusangazi ward which enhances the social economic activities of the local people and non-local people. Livelihood is also supported by small scale trading. The developmental prospects for Lusangazi district include Granite Mining, Gold Panning, Lime Plant, Wind/ Solar energy and Tourism activities.

Traditional Leadership

Lusangazi has two (2) Chiefdoms namely Sandwe and Nyamphande. Sandwe Chiefdom covers the North-western part of the district and houses the administrative centre at Village 18 in Masili. The Chiefdom is home to the Nsenga Speaking people and has six wards: Lusangazi, Ukwimi, Mawanda, Mudosa, Chikowa, and Chisangu.

The Nyamphande Chiefdom is on the south eastern side of the district and shares the boarders with Petauke, nyimba and Serenje districts. The Chiefdom is home to the Nsenga people, a distinctive dialect of Chinsenga. It consists of the following wards: Mateyo-Mzeka, Chingolo, Singozi, Lutwazi, Nyakawise

The address of the registered office of Lusangazi Town Council (LTC) is as follows:

The Civic Centre
P O Box 560151
Ukwimi Road
LUSANGAZI

REPORT OF THE COUNCIL

Composition of the Council

Lusangazi Town Council is a body corporate established under Article 152 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 and incorporated under Cap 281 of 1991 of the Laws of Zambia. As a Local Authority, the Lusangazi Council administers the Lusangazi District.

From January to December 2023, the Council was composed of an elected chairperson, 11 councillors from eleven (11) wards and Two (2) chiefs as provided for under Article 153 of the Constitution of Zambia (Amendment) Act No. 2 of 2016. The current Council is composed of an elected Chairperson and eleven (11) Councillors from the eleven (11) wards. Number of wards increased from 5 wards to 11 wards after the movement of District boundaries in Nyamphande area, the current Council was elected to office on 21 August 2021 to serve a five-year term up to 2026. The vice chairperson was elected from among the councillors in 2021 for a period of two and half years.

The Councilors who held office during the year 2023 were:

Composition of the Council

S/N	NAME	GENDER	POSITION	WARD
1	Blackson Tembo	Male	Chairperson	Not applicable
2	Anna Njobvu M	Female	Vice Chairperson	Lutwazi
3	Nason Chirwa	Male	Councillor	Chisangu
4	John Phiri	Male	Councillor	Ukwimi
5	Nkhata G. Salulani	Male	Councillor	Mawanda
6	Martin Tembo	Male	Councillor	Lusangazi
7	Cosmas Mwanza	Male	Councillor	Mateyo Mzeka
8	Enos Manda	Male	Councillor	Singonzi
9	Stephen T.,K. Phiri	Male	Councillor	Mdonsa
10	Jacob Zulu	Male	Councillor	Chingolo
11	Henry Lungu	Male	Councillor	Chikowa
12	Geoffrey Daka	Male	Councillor	Nyakawise

The district had one (1) elected Member of Parliament, who held Office during the year under review. The district has one constituency namely Msanzala Constituency. The Member of Parliament that held office during the year was:

Period	NAME	GENDER	CONSTITUENCY
01/08/2021	Hon. Elias Daka	Male	Msanzala

The affairs of Central Government in the district are coordinated by the District Commissioner. During the year under review Mr. Mike Tembo was the District Commissioner for Lusangazi District.

The Council Secretariat

The Secretariat of Lusangazi Town Council was headed by the Council Secretary. The Council Secretary and the rest of the Secretariat are appointed by the Local Government Service Commission. The Council Secretary was assisted by Five (5) Chief Officers responsible for Finance, Planning, Works, Human Resource and Administration and two (2) units namely; Procurement and Internal Audit.

REPORT OF THE COUNCIL

Functions of the Council

The main function of the Council is the delivery of local public goods and services to the people in the District and discharge all or any of the functions set out in Article 147 of the Constitution of Zambia (Amendments) Act No.2 of 2016 and First Schedule of the Local Government Act No.2 of 2019 which include, among others, power to make By-Laws, power to make regulations, imposition of levies, fees and charges and to formulate local policies to promote, guide and regulate development in the district through various relevant departments of the Council.

Financial Results

	2023	2022
	Kwacha	Kwacha
Cash Receipts	37,349,006	34,102,339
Payments	26,680,028	14,723,348
Increase/decrease in Cash and Cash Equivalents	10,668,978	19,378,991

Key Policies Adopted During the Year

The Council did not adopt any policy during the year ended 31st December 2023:

Related Party Transactions

There were no related party transactions during the financial year ended 31st December 2023.

Property, Plant and Equipment

The council spent K10,200,387 on Property Plant and Equipment. No disposals were done during the period under review.

Intangible Assets

No intangible assets were purchased or disposed of during the year ended 31st December 2023.

Employees

The council had 66 employees at the start of the year and 69 at the end of the year. The total amount spent on employees' remuneration and welfare during the year was K6,245,127.

Health and Safety of Employees

The Council is aware of its responsibilities regarding the safety and health of employees as prescribed in the Occupational, Health and Safety Act No.36 of 2010 and took appropriate measures to safeguard their safety and health.

Recreation

The Council during the financial year ended 31st December 2023 did not incur any cost towards the sponsoring of various sporting activities.

REPORT OF THE COUNCIL

Corporate Social Responsibility

The Council did not make any donations towards the support of socially responsible causes during the year under review

Auditors

In line with Article 250 of the Constitution of Zambia (Amendment) Act No.2 of 2016 and Section 44(2) of the Local Government Act No. 2 of 2019, the Council is audited by the Auditor-General.

By order of the Council

Signature

Name: Tembo BLANKSON S.

Position: Council Chairperson

Date: 28/10/2024



STATEMENT OF RESPONSIBILITIES FOR ANNUAL FINANCIAL STATEMENTS

The Lusangazi Town Council is responsible for preparing the financial statements for the year ended 31st December, 2023 which are free from material misstatement, whether due to fraud or error, and are prepared, in all material respects, in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS). In preparing the financial statements, the Council selected applicable policies from Local Authorities Accounting Policies (LAAPs) of October 2019 and then applied them consistently, making judgment and estimates that were reasonable and prudent.

The Council is also responsible for the maintenance of adequate accounting records and the preparation and integrity of the annual financial statements and related information. The Auditor-General has audited the financial statements and his report is shown on pages 8 to 10.

The Council accepts responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with the Cash Basis IPSAS, the requirements of the Local Government Act No. 2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies Amendments (LAAPs) of November 2022.

The Council further accepts responsibility:

- for the maintenance of accounting records that may be relied upon in the preparation of financial statements,
- for designing, implementing and maintaining systems of internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Nothing has come to the attention of the Council to indicate that the Lusangazi Town Council will not remain a going concern for at least twelve months from the date of this statement.

In the opinion of the Council, proper books of accounts were maintained to support preparation of Financial Statements that present fairly the financial results of the Lusangazi Town Council for the financial year ended 31st December 2023.

Signed on behalf of the Council on

Name..... TEMBO BLACKSON 'S.

Name..... [Signature]

Signature: [Signature]

Position: Council Chairman

Signature: [Signature]

Position: Council Secretary

Name: Lusanga Chibuka

Signature..... [Signature]

Position: Director Finance



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

INDEPENDENT AUDITOR'S REPORT

**STAND No.7951
HAILE SELASSIE AVENUE,
LONGACRES
P.O BOX 50071
LUSAKA, ZAMBIA**

**E-mail: auditor@ago.gov.zm
Website: www.ago.gov.zm
Telephone: +260252611/252771**

To: The Minister – Ministry of Local Government and Rural Development

Report on the Audit of the Financial Statements for Lusangazi Town Council for the Financial Year Ended 31st December 2023

Opinion

I have audited the financial statements of the Lusangazi Town Council for the financial year ended 31st December 2023 which comprise the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) and a summary of significant accounting policies and other explanatory information.

In my opinion, the accompanying financial statements of Lusangazi Town Council present fairly, in all material respects, its cash receipts and payments and balances for the year ended 31st December 2023 in accordance with the Cash Basis International Public Sector Accounting Standard (IPSAS) and the Local Authorities Accounting Policies (LAAPs).

Basis for Opinion

I conducted my audit in accordance with International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the Auditor's Responsibilities for the audit of the Financial Statements section of my report. I am independent of Lusangazi Town Council in accordance with the International Organisation of Supreme Audit Institutions (INTOSAI) Code of Ethics together with the ethical requirements that are relevant to my audit of the financial statements in Zambia, and I have fulfilled my other ethical responsibilities in accordance with these requirements and the INTOSAI Code. I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements. Key audit matters are selected from the matters communicated to those charged with governance but are not intended to represent all matters that were discussed with them. However, I have determined that there are no key audit matters to communicate.

Responsibilities of Management and Those Charged with Governance for the Financial Statements
Management is responsible for the preparation and fair presentation of the financial statements in accordance with Cash Basis International Public Sector Accounting Standard, the Local Government Act No.2 of 2019, the Public Finance Management Act No.1 of 2018 and Local Authorities Accounting Policies (LAAPs) of 2019, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. Those charged with governance are responsible for overseeing the Council's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements, as a whole, are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional scepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Council's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.



**REPUBLIC OF ZAMBIA
OFFICE OF THE AUDITOR GENERAL**

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards. In communicating with those charged with governance, I also determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

The Council is required, under Section 45 of the Local Government Act No. 2 of 2019 to prepare a Statement of Comprehensive Income and a Statement of Financial Position. However, the Council prepared the Statement of Cash Receipts and Payments, the Statement of Comparison of Budget and Actual Amounts, Statement of Cash Receipts and Payments for Local Government Equalization Fund and the Statement of Cash Receipts and Payments for Constituency Development Fund (CDF) using Cash Basis IPSAS in line with the LAAPS.

Dr. Ron M. Mwambwa, FCMA, FZICA, CGMA, CFE
ACTING AUDITOR GENERAL

DATE: 07/11/2024

STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE YEAR ENDED 31ST DECEMBER 2023

	Note	2023 Kwacha	2022 Kwacha
RECEIPTS			
Local taxes	2	6,858	2,938
Fees and Charges	3	366,885	342,366
Licences	4	42,060	24,256
Levies	5	110,472	149,582
Permits	6	42,947	54,848
Local Government Equalisation Fund	7	9,098,382	9,144,537
Constituency Development Fund	8	27,261,470	23,739,911
Other Grants	9	200,000	401,811
Borrowings	10	-	-
Commercial Venture	11	-	-
Other Receipts	12	219,932	242,090
TOTAL RECEIPTS		37,349,006	34,102,339
PAYMENTS			
Personnel Emoluments	13	6,245,127	5,672,066
Use of goods and services	14	3,243,210	5,564,669
Financial Charges	15	-	-
Social benefits	16	4,777,861	1,920,000
Non-financial assets acquisition	17	10,200,387	1,235,634
Financial Assets	18	2,132,360	-
Loan Repayments	19	-	-
Other payments	20	81,083	330,979
TOTAL PAYMENTS		26,680,028	14,723,348
Increase/(decrease) in Cash		10,668,978	19,378,991
Foreign Exchange Losses	21	-	-
Cash at beginning of the year	22	21,787,015	2,408,024
Cash at the end of the year	22	32,455,993	21,787,015

Incorporated in the payments recognised in this Statement are those for Local Government Equalisation and Constituency Development Funds. However, the details of payments under each of these Funds are presented separately in each Fund's own Statement of Cash Receipts and Payments.

Name..... Tembo Blaever's
Signature.....
Position: Council Chairperson

Name..... Tembo Blaever's
Signature.....
Position: Council Secretary

Name..... Lusaka Chibwa
Signature.....
Position: Director Finance

STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS FOR THE YEAR ENDED 31ST DECEMBER 2023

	Original Budget Kwacha	Adjustments Kwacha	Final Budget Kwacha	Actual Amounts Kwacha	% Performance	Variance Kwacha	% Variance
RECEIPTS							
Local taxes	47,454	-	47,454	6,858	14%	(40,596)	-86%
Fees and Charges	1,006,575	-	1,006,575	366,885	36%	(639,690)	-64%
Licences	31,640	-	31,640	42,060	133%	10,420	33%
Levies	96,620	-	96,620	110,472	114%	13,852	14%
Permits	35,030	-	35,030	42,947	123%	7,917	23%
Local Government Equalisation Fu	9,269,760	-	9,269,760	9,098,382	98%	(171,378)	-2%
Constituency Development Fund	28,313,902	-	28,313,902	27,261,470	96%	(1,052,432)	-4%
Other Grants	400,000	-	400,000	200,000	50%	(200,000)	-50%
Borrowings	-	-	-	-	0%	-	0%
Commercial Venture	-	-	-	-	0%	-	0%
Other Receipts	267,500	-	267,500	219,932	82%	(47,568)	-18%
TOTAL RECEIPTS	39,468,481		39,468,481	37,349,006	95%	(2,119,475)	-5%
PAYMENTS							
Personnel Emoluments	6,815,685	-	6,815,685	6,245,127	92%	570,558	8%
Use of goods and services	3,738,015	-	3,738,015	3,243,210	87%	494,805	13%
Financial Charges	-	-	-	-	0%	-	0%
Social benefits	7,531,498	-	7,531,498	4,777,861	63%	2,753,637	37%
Non-financial assets acquisition	18,014,934	-	18,014,934	10,200,387	57%	7,814,547	43%
Financial Assets	3,227,785	-	3,227,785	2,132,360	66%	1,095,425	34%
Loan Repayments	-	-	-	-	0%	-	0%
Other payments	140,564	-	140,564	81,083	58%	59,481	42%
TOTAL PAYMENTS	39,468,481	-	39,468,481	26,680,028	68%	12,788,453	32%
Increase/(Decrease in Cash	(0)	-	(0)	10,668,978		(14,907,928)	

The composition of budget adjustments and explanations of major variances are provided in note 23

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE LOCAL GOVERNMENT
EQUALISATION FUND (LGEF) FOR YEAR ENDED 31ST DECEMBER 2023**

		2023	2022
		Kwacha	Kwacha
RECEIPTS			
Funding	7(a)	<u>9,098,382</u>	<u>9,144,537</u>
TOTAL RECEIPTS		<u>9,098,382</u>	<u>9,144,537</u>
PAYMENTS			
Operational Expenditure Payments:	7(b)		
Salaries and Wages		6,245,127	5,672,066
Terminal Benefits		-	-
Utility bills		16,667	18,252
Service Provision		218,962	98,236
Goods and Services		265,687	500,947
Administrative Costs		546,104	53,186
Other Costs		-	879,227
Sub-Total		<u>7,292,547</u>	<u>7,221,914</u>
Capital Expenditure Payments:	7(c)		
Infrastructure Development		-	-
Rehabilitation Works		-	-
Asset Acquisition		962,958	1,235,634
Other Costs(Borehole)		-	-
Sub-Total		<u>962,958</u>	<u>1,235,634</u>
TOTAL PAYMENTS		<u>8,255,505</u>	<u>8,457,548</u>
Increase/(decrease) in cash		<u>842,877</u>	<u>686,989</u>
Foreign Exchange Losses		-	-
Cash at beginning of the year		<u>1,136,788</u>	<u>449,799</u>
Cash at the end of the year		<u>1,979,665</u>	<u>1,136,788</u>

Note 22

Included in the District fund account balance is the balance of K27,147 for LGEF and Capital projects account balance of K1,952,518.

**STATEMENT OF CASH RECEIPTS AND PAYMENTS FOR THE CONSTITUENCY
DEVELOPMENT FUND (CDF) FOR YEAR ENDED 31ST DECEMBER 2023**

		2023	2022
		Kwacha	Kwacha
RECEIPTS			
Funding	8a	27,261,470	23,739,911
Other sources	8b	-	-
Other receipts	8c	178,884	156,289
TOTAL RECEIPTS		27,440,354	23,896,200
PAYMENTS			
Infrastructure Development	8d	6,753,552	1,442,072
Rehabilitation Works & Upgrades	8e	620,868	703,422
Asset Acquisitions	8f	1,279,896	-
Rural Electrification	8g	-	-
Social Benefits	8h	2,058,408	1,920,000
Loans	8i	2,132,360	-
Secondary Boarding Schools and Skills Developmer	8j	2,719,453	553,685
Administrative Costs	8k	1,387,686	573,869
Disaster Contingency	8l	583,112	-
TOTAL PAYMENTS		17,535,337	5,193,048
Increase/(decrease) in Cash		9,905,017	18,703,151
Cash at beginning of the year		20,401,117	1,697,966
Cash at the end of the year	8m	30,306,134	20,401,117

Note 8 explains the composition and other details relating to the various elements included in this Statement.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1. Basis of the Preparation of the Financial Statements

The Financial Statements have been prepared in accordance with Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*, issued by the International Public Sector Accounting Standards Board (IPSASB) as required by the Local Authorities Accounting Policies (LAAPs).

These financial statements have been prepared in accordance with the historical cost convention as the basis of measurement, unless specified otherwise.

The accounting policies have been applied consistently throughout the period.

1.1 Migration to Accrual Basis Financial Reporting

Lusangazi Town Council is required, under the Local Government Act No. 2 of 2019 to produce a Statement of Comprehensive Income and a Statement of Financial Position. The production of these statements entails adoption and application of Accrual Basis of Accounting in financial reporting. In applying Cash Basis of Accounting, the Council followed guidance listed below:

- (a) Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting*.

This standard provides that public sector entities adopting Accrual Basis for the first time may apply Cash Basis IPSAS provisions as an intermediate step to assist them in the transition to Accrual Basis IPSASs. In this vein, the Council has produced these financial statements under Cash Basis IPSAS as part of its transition to Accrual Basis of Accounting.

- (b) Accounting Pronouncement: 2023/1 – Applicability of International Public Sector Accounting Standards (IPSASs)

This pronouncement issued by the Zambia Institute of Chartered Accountants (ZICA) pursuant to the Accountants Act No. 13 of 2008 requires the adoption of Accrual Basis of Accounting by public entities by 1st January 2025 with a transition period of three (3) years. The Council is preparing to adopt Accrual Basis IPSASs on 1st January 2025.

- (c) Treasury and Financial Management Circular No.18 of 2022 issued by the Secretary to the Treasury pursuant to the Public Financial Management Act, No. 1 of 2018.

The Treasury and Financial Management Circular provides as follows:

- i. That in order to have a standard financial reporting framework, all Local Authorities should adopt the International Public Sector Accounting Standards (IPSASs) Cash Basis of Accounting as a first step in migration to IPSASs Accrual Basis of Accounting.
- ii. Local Authorities shall use Part 2 of Cash Basis IPSAS which requires extra disclosures called 'Encouraged Additional Disclosures' in Cash Basis financial statements for the years ending 31st December 2022 up to 31st December 2024.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- iii. All Local Authorities shall adopt and apply Accrual Basis IPSAS of Accounting starting 1st January 2025 by following the guidelines provided in IPSAS 33 – “First Time Adoption of Accrual Basis IPSASs”.
- iv. That the three (3) year transition period provided under IPSAS 33 should commence on 1st January 2025 and should end on 31st December, 2027. Thereafter, all Local Authorities shall be required to comply fully with Accrual Basis IPSASs.

Based on these guidelines, the Council has not yet commenced production of Accrual Basis financial statements required by the Local Government Act No. 2 of 2019. However, the Council has adopted Part 2 Cash Basis IPSAS, *Financial Reporting under the Cash Basis of Accounting* to help it transition its financial reporting to Accrual Basis IPSASs.

1.2 Reporting Entity

The Financial Statements are prepared for Lusangazi Town Council (LTC). The financial statements encompass the Council as specified in the Constitution of Zambia (Amendment) Act No. 2 of 2016, the Local Government Act No.2 of 2019, and the Public Finance Management Act No.1 of 2018. It also includes projects and activities of the Constituency Development Fund and the Local Government Equalisation Fund in the district.

1.3 Authorisation Date

The financial statements were authorized for issue on..... by the ordinary/ special Council.

1.4 Revenue

Revenue is recognised when cash is received. It is generated from various sources as explained below:

a. Local Taxes

Article 161 of the Constitution of Zambia (Amendment) Act No. 2 of 2016 authorised Lusangazi Town Council as a Local Authority to levy, impose, recover and retain local taxes. Further, the Local Government Act No. 2 of 2019 section 25(1) prescribes, subject to the Constitution and the Business Regulatory Act of 2014, a system of local taxes which Local Authorities can raise by passing by-laws imposing levies on:

- leviable persons owning or occupying property or premises situated within the area of the District;
- leviable persons carrying on a business, trade or occupation within the area of the District; or
- the purchase or sale of a commodity within the area of the District.

b. Fees and Charges

Section 27 (1) of the Local Government Act No.2 of 2019 empowers Local Authorities, subject to the Business Regulatory Act, 2014, to impose fees or charges payable to the Council:

- For any license or permit issued under any regulation or by-law made under the Act. These may include health permits, fire certificate licences, burial permits and extension of business hours permits;

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

- For any service or facility provided or goods or documents supplied by the local authority in pursuance of or in connection with the performance of any function of the local authority. These may include survey fees, consent fees, building inspection fees, waste collection fees and parking fees.

1.5 Expenditure

Expenditure is recognised when payment is made for expenses incurred. The Council incurs expenditure relating to the discharge of its functions which includes expenses relating to personal emoluments, use of goods and services, social benefits and acquisition of non-financial assets.

Items of a capital nature are expensed at the time of payment and such transactions are depicted in the appropriate class and heading in the financial statements. Since capital expenditure is expensed when incurred, neither depreciation nor amortization is charged on non-current assets.

1.6 Reporting on Gross Basis

Transactions are reported on gross basis without netting off similar classes of receipts and payments. However, transactions may be reported on net basis when they relate to transactions the Council administers on behalf of other entities recognised in the Financial Statements

1.7 Cash in hand at the Beginning and the End of the Year

Cash at the beginning and end of the year consist of cash on hand, demand deposits and cash equivalents held at such dates.

Cash on hand refers to notes and coins held by the Council at the reporting date and it includes petty cash and cash collections not yet deposited into bank accounts. Demand deposits consist of reconciled balances held in the Council's bank accounts which it can use on demand. Cash equivalents, on the other hand, refer to short term high liquid investments that can easily be converted to known amounts of cash and are subject to insignificant risk of change in values.

The Council recognises all short-term high liquid investments having maturities of three months or less as cash equivalents.

1.8 Local Government Equalization Fund

Article 163(2) of the Constitution of Zambia (Amendment) Act No. 2 of 2016 provides that Parliament shall annually appropriate monies to the Local Government Equalisation Fund which shall be disbursed by the Ministry responsible for finance to Local Authorities. Receipts under LGEF supplement revenue generated by the Council. The Council uses at least 20% of the funds received from the equalization fund, in any financial year, to finance capital expenditure and the balance to meet operational expenses.

1.9 Constituency Development Fund

The Constituency Development Fund (CDF) was established under Article 162(1) of the Constitution of Zambia (Amendment) Act No. 2 of 2016.

The fund was set up to finance micro-community projects for poverty reduction in communities and it is financed by monies appropriated by Parliament.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The administration of CDF is regulated by the Constituency Development Fund Act No. 11 of 2018. The Council maintains separate bank accounts for each constituency. Transfers are made from CDF into constituency bank accounts from which payments are made to finance approved CDF projects.

1.10 Other Grants

These include grants in lieu of rates and support from Cooperating Partners. Grants in lieu of rates are paid by the Government to the Council to cover property rates of Government properties in the district. Support from Cooperating Partners may consist of cash receipts under bilateral and multilateral agreements.

1.11 Presentation Currency

The presentation currency is *Zambian Kwacha*.

1.12 Foreign Currencies

Transactions in other currencies are converted into *Zambian Kwacha* using the ruling Bank exchange rates at the time of payment. Balances expressed in foreign currencies at the year-end are translated into *Kwacha* at the ruling rate then. The resulting difference from the conversion and translation are charged to the Statement of Cash Receipts and Payments.

1.13 Borrowings

Borrowings comprise actual cash inflows received from financial institutions, bilateral and multilateral institutions.

1.14 Budgets and Actual Amounts

A final budget includes all adjustments (supplementary and re-allocations) made to the original approved budget during the year. Supplementary budgets consist of additional provisions beyond what was originally approved while re-allocations are approved budget variations.

The approved budget is developed on the same accounting and classification basis, and for the same period as for the financial statements. All material differences between final budgets and actual amounts are explained in the notes to the annual financial statements. Budget differences of 20% and above are considered material.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

1.15 Encouraged Disclosures of Accrual Type of Items

During the year, the Council adopted Part 2 of Cash Basis IPSAS which provides extra Accrual Basis type of disclosures called Encouraged Additional Disclosures as follows:

i. Property, Plant and Equipment

These are assets that have useful economic lives or service potential of more than one year. They are recorded and disclosed at either cost or valuation. Valuations are conducted by the Government Valuation Department and the Council's own Valuation staff. Where valuation has been undertaken, the applicable valuation bases are as follows:

- | | |
|-----------------------|----------------------|
| • Land | Current Value |
| • Buildings | Cost or Market Value |
| • Plant and Equipment | Cost |

ii. Investments in Other Entities

The Council discloses the following details about its investments in other entities:

- (a) Name of the entity: Msanzala Investment Limited
- (b) Principal activity of the entity: Construction
- (c) Percentage of shareholding in the entity: 100%
- (d) Receipts in form of dividends and other returns on the investments: Nil

iii. Administered Transactions

Administered transactions are cash flows resulting from transactions administered by the Council as an agent of Central Government and any of its agencies. All cash collected in this manner is deposited into an account of the Central Government or its appropriate agent and such accounts are not controlled by the Council. The Council deems as part of cash under its control any collections made and administered by the Council on behalf of the Central Government but are allowed to be deposited in any of its bank accounts prior to its transfer to the Central Government or any of its agents.

iv. Related Party Transactions

A related party is one that has the ability to control the Council or exercise significant influence over the Council in making financial and operating decisions. The related party entity is also any entity that is subject to common control with the Council.

Related parties include:

- (a) Entities that directly, or indirectly through one or more intermediaries, control, or are controlled by the Council;
- (b) Associates being entities over which the Council has significant influence
- (c) Individuals that have significant influence over the Council, and close members of the family of any such individual;
- (d) Key management personnel, and close members of the family of key management personnel; and
- (e) Entities in which a substantial ownership interest is held, directly or indirectly, by any person described in (c) or (d), or over which such a person is able to exercise significant influence.

SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The key management personnel of the Council are:

- (a) Chairperson, elected councillors, co-opted members of the Audit and Procurement Committees, chiefs who are part of the council representing other chiefs in the district, and
- (b) The Principal Officers and Chief Officers.

Spouses, children and grandchildren, grandparents, brothers, sisters, parents in law, brothers in law, and sisters in law of key management personnel are related parties to the Local Authority

The Council discloses the nature of the related party relationship as well as information about those transactions and outstanding balances as a note to the financial statements. Such transactions may include remuneration, loans and contracts awarded to key management personnel and their close relatives.

v. External Assistance

External assistance comprises loans and grants from multilateral and bilateral agencies provided under agreements specifying the purposes for which the assistance will be utilized. Lusangazi Town Council discloses total external assistance received in cash during the period, total external assistance paid by the agencies for the benefit of the council, external assistance received in form of loans and grants, their classifications, purposes for which it was received and undrawn balances.

vi. Payments to Third Parties

Third party payments also known as direct payments are those that are made by third parties to construct or acquire property, plant and equipment and or pay for services on behalf of Lusangazi Town Council. These do not constitute cash receipts and payments by the Council. They include payments for goods and services made by multilateral and bilateral aid agencies and non-governmental organizations and are included in the disclosures of external assistance.

NOTES TO THE FINANCIAL STATEMENTS

2. Local Taxes

During the year 31st December 2023, the Council generated local tax cash receipts as follows:

Local Tax Type	2023	2022
	Kwacha	Kwacha
Residential Rates	-	-
Industrial / Commercial Rates	-	-
Mining Rates	-	-
Personal Levy	6,858	2,938
	-	-
TOTAL	6,858	2,938

3. Fees and Charges

The Council generated cash receipts in form of fees and charges arising from offering various services as follows.

	2023	2022
	Kwacha	Kwacha
Fees and charges	346,385	203,266
Land Development Charges	20,500	139,100
Total	366,885	342,366

NOTES TO THE FINANCIAL STATEMENTS

a. Fees and charges

The Council generated the following fees:

Fees and Charges Type	2023	2022
	Kwacha	Kwacha
Consent Fees		
Survey Fees	1,870	68,000
Building Inspection fees	-	-
Plan Scrutiny Fees	-	4,000
Container/Ntemba fees	-	-
Rentals/Lease of Council's properties	-	-
Application Form Fees	13,310	14,280
Sketch Fees	-	-
Bus Station Fees	41,615	-
Affidavit Fees	1,225	-
Refuse Disposal Fees	-	-
Notice of Marriage	500	-
Registration of Suppliers	-	-
Abattoir/Meat Inspection Fees	-	-
Registration of Clubs and Societies	57,500	-
Farm Produce Levy	104,686	-
Communication Mast Levy	65,000	55,000
Land Record	-	-
Billboard and Banner	-	-
Illegal Vending Fees	-	-
Penalties	-	-
Site Rent	-	-
Change of ownership of plot	-	-
Other Fees and Charges/other income	60,679	61,986
TOTAL	346,385	203,266

b. Land Development Charges

The Council collected the following land development related charges during the year ended 31st December 2023:

Charges Type	2023	2022
	Kwacha	Kwacha
Service charges - residential plots	6,500	37,350
Service charges - Industrial plots	-	-
Premium plots - Residential	-	-
Premium plots - Commercial	14,000	28,250
Lease charges	-	-
Other	-	73,500
TOTAL	20,500	139,100

NOTES TO THE FINANCIAL STATEMENTS

4. Licenses

A total of K42,060 cash receipts was raised from issuance of various licenses.

Licence Type	2023 Kwacha	2022 Kwacha
Manufacturers licence	-	-
Retail licence	-	-
Wholesale licence	-	-
Occupancy licence	-	-
Commercial travellers licence	-	-
Hawkers licence	-	-
Peddlers licence	-	-
Stall licence	-	-
Liquor licence	540	1,027
Firearm and ammunition licence	41,520	18,980
Petroleum licence	-	-
Restaurant licence	-	-
Dog licence	-	-
Other licences	-	4,249
TOTAL	42,060	24,256

5. Levies

The Council generated cash receipts by charging levies as follows:

Type of Levy	2023 Kwacha	2022 Kwacha
Livestock Levy	8,217	6,235
Bird Levy	-	-
Fish Levy	-	-
Pole Levy	-	-
Charcoal Levy	1,765	3,892
Business Levy	83,242	38,976
Miscellaneous levies	17,248	100,479
TOTAL	110,472	149,582

NOTES TO THE FINANCIAL STATEMENTS

6. Permits

The Council generated cash receipts from issuing various permits as follows:

Type of Permit	2023 Kwacha	2022 Kwacha
Health Permit	17,285	35,113
Herbalist permit	450	1,800
Fire Certificates	15,920	-
Extension of business hours permits	1,447	-
Transportation of Opaque	7,845	7,000
Other Permits	-	10,935
TOTAL	42,947	54,848

7. Local Government Equalisation Fund

a. Funding

	2023 Kwacha	2022 Kwacha
January	761,354	759,056
February	761,354	754,189
March	740,517	770,885
April	757,517	749,919
May	760,517	766,786
June	760,517	766,786
July	760,517	766,786
August	760,517	762,912
September	760,517	762,912
October	760,517	762,412
November	760,517	760,317
December	754,017	761,574
TOTAL	9,098,382	9,144,537

a. Operational Expenditure

The Council applied amounts totalling K7,292,547 of LGEF receipts towards meeting Operational expenses representing 80% of the total LGEF funding for the reporting period.

b. Capital Expenditure

The Council applied amounts totalling K962,958 of LGEF receipts towards meeting capital expenditure representing 11% of the total LGEF funding for the reporting period. This expenditure is included in the amounts disclosed in notes accompanying the Statement of Cash Receipts and Payments.

NOTES TO THE FINANCIAL STATEMENTS

8. Constituency Development Fund

Statement of Cash Receipts and Payments for CDF under the period reviewed shows an amount of K 27,261,470 having been received from the ministry of Local government and rural development.

a) CDF Funding

Funding	2023	2022
	Kwacha	Kwacha
Community Projects	14,279,546	11,938,162
Disaster Contingency	806,946	733,587
Empowerment Grants	2,151,857	1,956,233
Empowerment Loans (Revolving Fund)	3,227,785	2,934,350
Bursaries	5,379,641	4,890,583
Administrative Costs	1,415,695	1,286,996
TOTAL	27,261,470	23,739,911

b) Loan Repayments

During the year, Lusangazi Town Council did not receive funds from the Loan Repayments as loans were processed in November and December and were not due for repayment by the close of the year.

c) Other Receipts

During the year under review, the Lusangazi Town Council did receive other receipts as indicated below: -

	2023	2022
	Kwacha	Kwacha
Interest Earned	178,884	156,289
Donations /Contributions	-	-
Total	178,884	156,289

NOTES TO THE FINANCIAL STATEMENTS

d) Infrastructure Development

Infrastructure Development includes payments made towards drilling and fully equipping new boreholes in the district.

Expenditure	2023	2022
	Kwacha	Kwacha
Construction of Primary Schools - certified works paid	4,040,303	670,439
Construction of Secondary schools - certified works paid	370,922	74,588
Construction of Feeder Roads - certified works paid	-	-
Construction of Mothers' Shelters - certified works paid	-	-
Construction of health facility certified works paid	519,958	45,000
Construction of Staff house - certified works paid	390,207	-
Drilling of boreholes - certified works paid	1,071,399	652,045
Construction of Ablution Blocks	200,763	-
Construction of Local courts - certified works paid	-	-
Re-Construction of Police post Staff house - certified work	-	-
Administrative costs	160,000	-
TOTAL	6,753,552	1,442,071

e) Rehabilitation Works and Upgrades

Rehabilitation Works and Upgrades of Infrastructure Development includes payments made towards rehabilitation of boreholes in the district as well as some classrooms, Teacher's Houses and health facilities.

Payments	2023	2022
	Kwacha	Kwacha
Rehabilitation of primary schools	556,554	312,720
Rehabilitation of secondary schools	-	30,000
Rehabilitation of Police post	-	-
Rehabilitation of Staff Houses	12,758	196,483
Rehabilitation of feeder roads	-	-
Rehabilitation of Health Facilities	-	-
Rehabilitation of markets	-	-
Rehabilitation of community halls	-	-
Rehabilitation of palaces	-	-
Rehabilitation of Boreholes	51,556	164,219
TOTAL	620,868	703,422

NOTES TO THE FINANCIAL STATEMENTS

f) Asset Acquisition

The Council used a total of K1,279,896 to acquire assets during the year under review.

Payments	2023	2022
	Kwacha	Kwacha
Purchase of Motor Vehicles	-	-
Equipment	178,500	-
Furniture	-	-
Plant and Machinery	-	-
Building	-	-
Any Other Community Projects	1,101,396	-
TOTAL	1,279,896	-

g) Rural Electrification

There was no activity under Rural electrification

h) Social Benefits

The following payments were made during the year under review.

Payments	2023	2022
	Kwacha	Kwacha
Youth Empowerment grants	25,000	-
Women empowerment grants	54,000	132,000
Life and Business Skills Training	-	-
Productivity grants	-	-
Savings Clubs	-	-
Community empowerment grants	1,979,408	1,788,000
TOTAL	2,058,408	1,920,000

i) LOANS

The council distributed a total of K2,132,360 as soft loans to beneficiaries during the year under review as below:

Payments	2023	2022
	Kwacha	Kwacha
Youth Empowerment loans	-	-
Women empowerment loans	-	-
Community empowerment loans	-	-
Small and Medium Enterprises (SMEs)	2,132,360	-
TOTAL	2,132,360	-

NOTES TO THE FINANCIAL STATEMENTS

j) Secondary Boarding Schools and Skills Development Bursaries

The council made payments as follows

Payments	2023	2022
	Kwacha	Kwacha
Skills Development	381,800	405,685
Secondary Boarding Schools	2,337,653	148,000
TOTAL	2,719,453	553,685

k) Administrative Costs

Administrative and other costs included the following

	2023	2022
	Kwacha	Kwacha
Supervision cost for civil works	31,244	75,050
Special assistance benefits	-	-
Bank charges	69,465	1,720
Monitoring of civil works	6,930	27,440
Refreshments for Meetings	78,955	27,611
Stationary	77,078	37,444
Allowances	468,315	234,228
Transport	22,680	-
Fuel	234,705	69,003
Office equipment	127,749	69,050
Others	270,566	32,323
TOTAL	1,387,686	573,869

l) Disaster Contingency

The Council did not make any payments towards the disaster during the year: -

Type of Disaster paid for	2023	2022
	Kwacha	Kwacha
Floods,		
Fire,		
Lightening,	-	-
Others	583,112	-
TOTAL	583,112	-

NOTES TO THE FINANCIAL STATEMENTS

m) Cash Balances

Lusangazi Town Council had cash amounts consisted of cash on hand, demand deposits and cash equivalents.

Account Name	2023	2022
	Kwacha	Kwacha
Msanjala Constituency Development Fund A/c - ZANACO 566452030080	135	135
Msanjala Constituency Development Fund A/c - INDO Zambia Bank	29,455,686	19,660,087
Msanjala Constituency Development Fund A/c - INDO Zambia Rev.	850,314	740,896
TOTAL	30,306,134	20,401,117

9. Other grants

During the year, the Council received the following grants:

Revenue Source	2023	2022
	Kwacha	Kwacha
Grants in Lieu of Rates	200,000	100,000
Grants from Cooperating Partners	-	-
Grant for Community Total Led Sanitation	-	249,901
Grant To Hold Special DDCC	-	26,910
Other	-	25,000
TOTAL	200,000	401,811

10. Borrowings

No Borrowing during the year under review.

11. Council Commercial Venture

No receipts and payments under Council Commercial ventures were incurred

NOTES TO THE FINANCIAL STATEMENTS

12. Other Receipts

The Council did receive amounts totaling to K219,932 in its various bank accounts that could be traced to the sources as below.

Other Receipts	2023	2022
	Kwacha	Kwacha
Sinozoche	-	-
Dc Lusangazi	-	-
Zifil	-	-
Contributions towards national Events	-	9,000
Bid Document	-	-
Borehole Contributions	-	25,500
Electoral Commission of Zambia	-	-
Others	41,048	51,301
CDF interest	178884	156259
TOTAL	219,932	242,060

13. Personal Emoluments

Personal Emoluments consist of actual amounts of salaries and wages paid to staff of the Council. The Council had categories of staff that were paid as follows:

Emoluments	2023	2022
	Kwacha	Kwacha
Salaries Division I	1,926,986	2,181,849
Salaries Division II	1,427,243	1,263,967
Salaries Division III	1,345,154	891,353
Salaries Division IV	890,397	694,058
Other Allowances	8,740	113,185
Statutory Contributions	644,608	464,768
Contributions to Trade Unions	2,000	62,886
TOTAL	6,245,127	5,672,066

NOTES TO THE FINANCIAL STATEMENTS

14. Use of Goods and Services

Use of Good and services consist of expenditure incurred on administrative activities

Expenditure Type	2023	2022
	Kwacha	Kwacha
Office Running Costs	77,903	117,391
Building, Repair and Maintenance Costs	16,667	25,415
Plant, Machinery and Vehicle Running and Mai	265,687	253,399
Other Administrative operating costs	614,148	747,415
Requisites	3,400	219,881
Services	262,458	2,946,057
Travel expenses	538,068	690,426
Training	77,292	564,685
Computer Software	-	-
Constituency Development Fund Admin Cost	1,387,586	-
TOTAL	3,243,210	5,564,669

15. Financial Charges

The Council did have a long-term liability during the year under review to pay financial charges.

16. Social Benefits

The Council did not incur any payments toward social benefits on death on duty, burial, and other benefits during the year 31st December 2023 apart from grants to various clubs and cooperatives under the Constituency Development Fund as shown below

Payments	2023	2022
	Kwacha	Kwacha
Youth Empowerment grants	25,000	-
Women empowerment grants	54,000	132,000
Life and Business Skills Training	2,337,653	-
Secondary Boarding Bursary	381,800	-
Community empowerment grants	1,979,408	1,788,000
TOTAL	4,777,861	1,920,000

17. Non-financial Asset Acquisition

Acquisition of assets involved the -following payments:

	2023	2022
	Kwacha	Kwacha
Building & Structures (Construction of Provisional Office)	566,657	127,808
Office Equipment	38,042	301,180
Servicing of plots	-	-
Borehole Drilling and Equiping	-	236,550
Other Assets-office furniture	74,752	211,605
CDF Community Projects (See note 8)	9,237,429	-
Procurement of Mzda Engine	283,507	358,491
TOTAL	10,200,387	1,235,634

NOTES TO THE FINANCIAL STATEMENTS

18. Financial Assets

The council distributed soft loans under the CDF empowerment schedule as financial assets during the year.

	2023 Kwacha	2022 Kwacha
Soft Loans to Cooperatives/Clubs	2,132,360	
TOTAL	2,132,360	-

19. Loan Repayments

No Loan repayment occurred under the year being reviewed as council had no borrows.

20. Other Payments

These relate to sundry items such as

	2023 Kwacha	2022 Kwacha
Fixed Allowance	-	-
Statutory Contribution	-	-
Domestic Creditors	39,000	299,324
Subscription	42,083	31,655
Electoral Commission of Zambia Expenditure	-	-
TOTAL	81,083	330,979

21. Foreign Exchange Losses

No transactions were made in other currencies and determined by reconciling opening cash to closing cash balances during the year 31st December 2023.

22. Cash Balances

The Council's Cash amounts consisted of cash on hand, demand deposits and cash equivalents.

	2023 Kwacha	2022 Kwacha
Cash on hand	-	-
Demand Deposits	32,455,993	21,787,015
Cash equivalents	-	-
TOTAL	32,455,993	21,787,015

a. Cash on hand

There was no cash on demand made of cash collections and petty cash.

NOTES TO THE FINANCIAL STATEMENTS

b. Demand Deposits – Bank Balances

The Council had the following reconciled bank account balances as at the 31st December 2023:

Account Name	Account No	2023 Kwacha	2022 Kwacha
District Revenue A/c	Zanaco -5664520300496	- 3,897	1,663
Salaries A/c	Zanaco-5664520300294	106,595	83,634
Capital Projects	Zanaco -5664520300295	1,952,518	1,136,788
District Fund A/c	Zanaco-5664520300193	28,545	57,070
Msanzala Constituency A/C	Zanaco-0567194300118	29,455,686	20,401,117
Msanzala Constituency A/C	INDO Zambia-5664520300	135	-
Msanzala Constituency A/C-Revolving	INDO Zambia-0152020000093	850,314	-
Rural Water and Sanitation A/C	Zanaco-5664520300601	65,936	105,384
Service Charge A/c	Zanaco	162	1,359
Electoral Commission Of Zambia A/C	Zanaco-5664520300597	-	-
TOTAL		32,455,993	21,787,015

c. Cash Equivalents

The Council had no treasury bills valued under the year 31st December 2023.

23. Budget Adjustments and Variances

a. Budget Adjustments

The original budget was approved by the Minister responsible for Local Government on 2nd March 2023 on Ministerial circular number MLGRD/71/1/1. Subsequent approved adjustments to the budgets consisted of approved supplementary provisions and approved budget reallocation as follows

b. Budget Variances

• Local Taxes

The Council planned to raise K47,454 in Fees and Charges but collected K6,858 representing 14% collection efficiency. This resulted in a variance of K40,596 representing negative 86%. The poor collection of property rates attributed to delays in showing would be developers of parcels of land.

• Fees and Charges

The Council budgeted to raise K1,006,575 on Fees and Charges but received K 366,885 representing 36% collection efficiency. This resulted in a variance of negative K 639,690 representing 64% adverse performance. This was due to challenges in in land issues which arose during the year under review which resulted in the council having challenges to collect plot premium fees.

• Licences

The Council budgeted to raise K31,640 on Licences but received K42,060 representing 133% collection efficiency. This resulted in a favorable variance of K 10,420 representing 33%. This was due to good response from the fire arm licence holders after some intensive sensitisations.

NOTES TO THE FINANCIAL STATEMENTS

- **Permits**

The Council budgeted to raise K35,030 on Permits but received K42,947 representing 123% collection efficiency. This resulted in a favorable variance of K7,917 representing 23%. This was due to the updated revenue database which was updated with help of local impact and some community sensitization on the need to get permits from the council.

- **Other Grants**

The Council budgeted to receive K400,000 as grant in lieu of rates, but received K200,000 representing 50% collection efficiency. This resulted in a variance of K200,000 representing negative 50%. This is as a result of underfunding from central government.

- **Other Receipts**

The Council budgeted to raise K267,500 on other receipts but received K 219,932 representing 82% collection efficiency. This resulted in a variance of negative variance of K47,568 representing negative 18%. This is as a result of delays in setting up the blocking making machine that should have supported this budget line.

- **Use of Goods and services**

The council budgeted to spend K3,738,015 on the use of goods and services but spent K3,243,210 representing a budget performance of 87%. This resulted in a variance of K494,805 representing 13%. The variance was as a result of late funding of Constituency Development Fund which led to delays in the procurement processes for projects funded under Community projects.

- **Social Benefits**

The Council planned to spend K7,531,498 on social benefits but spent K4,777,861 representing a budget performance of 63%. This resulted in a variance of K2, 753,637 representing 37%. This was mainly due to the delays in awarding skills development and low turnout of secondary school bursaries for the period under review.

- **Non-Financial Assets Acquisition**

The Council planned to spend K18,014,934 on non-financial assets acquisition but spent K10,200,387 representing a budget performance of 57%. This resulted into a variance of K7,814,547 representing 43%. The above positive variance is attributed to delays in procurement processes for the completion of works at the provisional offices and community projects under Constituency Development Fund.

- **Financial Assets**

The Council planned to spend K 3,227,785.00 on Financial Assets but did spend K 2,132,360 representing a budget performance of 66 %. This resulted into a variance of K 1,095,425 representing 34%. The above positive variance is attributed to delays in the approval processes for empowerment Loans.

- **Other Payments**

The Council planned to spend K 140,564 on other payments but spent K81,083 representing a budget performance of 58%. This resulted into a variance of K 59,481 representing 42%. The above positive variance is attributed to inadequate funds to meet debt liquidation.

NOTES TO THE FINANCIAL STATEMENTS

24. Provision of Services

The Council incurs expenditure of offering services; it is mandated to provide to the residents of the District.

Type of Services	2023 Kwacha	2022 Kwacha
COVID 19 Prevention	-	-
Make Zambia Clean and Health Campaign	-	-
HIV/AIDS Prevention	-	-
Roads and Drainages	-	-
Parks, Zoos and Botanical Gardens	-	-
Mangement of Council Buildings	-	-
Ward Development Fund Projects	-	-
Procurement of Motor vehicle	358,491	358,491
Procurement of GPS	-	-
Boreholes and Water reticulation	449,721	449,721
Other Services	-	-
	808,212	808,212

Note: The above amounts have been included in the various payments recognized in the Statement of Cash Receipts and Payments.

25. Property, Plant and Equipment

The Council had property, plant and Equipment valued at K15,354,533 as at 31st December 2023.

	Land Kwacha	Land and Buildings Kwacha	Plant & Machinery Kwacha	Motor vehicles Kwacha	TOTAL Kwacha
Opening balance	-	1,194,101	278,905	708,491	5,154,146
Additions	-	8,524,190	1,392,690	283,507	10,200,387
Revaluation	-	-	-	-	-
Re-classification	-	-	-	-	-
Disposal	-	-	-	-	-
Closing balance	-	9,718,291	1,671,595	991,998	15,354,533

26. Investments in Other Entities

The Council managed to register a company to operate under its name to run all its business activities which will include the block making machine. The business entity was registered toward the end of the financial year and could operate within the financial year. Investments in shares were held by the council during the period under review.

Entity Name:	Msanjala Investment Limited
Shares Held:	100%
Principal Activity:	Construction

NOTES TO THE FINANCIAL STATEMENTS

27. Administered Transactions

No collections were administered on behalf of Zambia Revenue Authority.

28. Related Party Disclosures

The following disclosures are made in the financial statements of Lusangazi Town Council:

a. Fringe benefits Disclosures

The Chairman was provided with a personal-to-holder car, an office and personal secretary.

b. Remuneration of the Councillors

The aggregate remuneration of members of the Council and the number of individuals determined on a full-time equivalent basis receiving remuneration from Lusangazi Town Council are:

Aggregate Remuneration	K 396,000
Number of persons	11

None of the councillors acquired loans from the Council during the period under review nor had any outstanding loans.

c. Remuneration of Senior Management

The aggregate remuneration of members of the Senior Management and the number of individuals determined on a full-time equivalent basis receiving remuneration from the Local Authority are:

Aggregate Remuneration	K2,267,563
Number of persons	14

None of the members of senior management acquired loans from the Council during the period under review nor had any outstanding loans.

29. External Assistance

There was no external assistance received during the year.

30. Third Party Payments

There were no third-party payments made during the year.